



Department of State
Compliance Plan for OMB Memorandum M-25-21
September 2025

Prepared by: Amy Ritualo, Acting Chief Data and Artificial Intelligence Officer

Issued by: Dr. Kelly Fletcher, Chief Information Officer

Publication Date: September 30, 2025

Table of Contents

Department of State Compliance Plan for OMB Memorandum M-25-21 September 2025	1
1. DRIVING AI INNOVATION	3
A. Removing Barriers to the Responsible Use of AI	3
B. Sharing and Reuse	5
C. AI Talent.....	7
2. IMPROVING AI GOVERNANCE	8
A. AI Governance Boards	8
B. Agency Policies.....	9
C. AI Use Case Inventory.....	9
3. FOSTERING PUBLIC TRUST IN FEDERAL USE OF AI.....	10
A. Determinations of High-Impact AI Use Cases.....	10
B. Implementation of Risk Management Practices and Termination of Non-Compliant AI Use Cases.....	11
APPENDIX A: AI GOVERNANCE BODIES	12

1. DRIVING AI INNOVATION

The Artificial Intelligence (AI) in Government Act of 2020 and Office of Management and Budget (OMB) Memorandum M-25-21, Accelerating Federal Use of AI through Innovation, Governance and Public Trust, directs each agency to post publicly on its website and submit to OMB a compliance plan which details how the agency will advance the responsible development, deployment, and use of AI technologies to enhance its operations. This document outlines the Department of State's plan to achieve enterprise-wide responsible use of AI through driving AI innovation, improving AI governance, and fostering public trust in federal use of AI.

The Department's commitment to advancing the responsible development, deployment, and use of AI technologies to every corner of the enterprise has been made evident in key initiatives such as the launch of StateChat, the Department's first generative AI (GenAI) chatbot, and the creation of centralized AI and data platforms, including AI.State and Data.State. Building on the momentum from these milestones, the Department is releasing the Enterprise Data and AI Strategy (EDAS) by September 30, 2025, which outlines a clear vision for leveraging data and AI to strengthen diplomacy, improve mission effectiveness, and enhance operational efficiency, all while supporting a decisive and focused America First foreign policy.

A. Removing Barriers to the Responsible Use of AI

The Department is committed to removing unnecessary barriers that inhibit innovation and the responsible use of AI, including limited access to advanced software tools and cumbersome governance processes. Building upon substantial investments in innovation made over the last few years, key initiatives include:

1) Putting AI tools in the hands of every employee:

- **Department-Specific GenAI ChatBot:** Iteratively enhancing StateChat, one of the first enterprise secure GenAI solutions in the federal government, capable of processing sensitive but unclassified (SBU) information. As of September 2025, StateChat has approximately 45,000 active users. Continual updates to

StateChat have recently added job-relevant information such as diplomatic cables, writing style guides, manuals, and the ability to access from mobile devices. These user-driven enhancements ensure StateChat remains a valuable resource for employees across the Department.

- **Applied AI Knowledge Base:** Maintaining AI.State as an up-to-date central, internal repository for AI training, approved tools, use case examples, and how-to information. This knowledge base helps employees leverage AI effectively and responsibly in their work.
- **Low-Cost AI Experimentation Environments:** To foster innovation, the Department offers in-house developers and analysts with access to no-cost and low-cost AI experimentation environments. These environments utilize industry-leading cloud software platforms, enabling employees to explore and develop AI workflows in a controlled and secure manner.
- **Expedited Terms of Service:** Dedicating a legal and policy team to negotiate Terms of Service (ToS) clarifications with AI vendors. This effort ensures safe and appropriate access to popular commercial AI tools while maximizing their utility for Department employees.

2) Streamline governance to enable innovation:

- **AI Governance Bodies:** Leveraging AI governance bodies to discuss, produce, and approve policies and streamlined procedures that foster innovation while expanding AI adoption. These bodies work to mitigate risks unique to AI in alignment with emerging laws and policies, ensuring responsible use of AI technologies.
- **AI Policy Development:** Continuously and proactively managing updates to **policies** in the Foreign Affairs Manual (FAM) to maintain accurate guidance on available AI tools according to law and **federal** policies.

- **Independent Monitoring and Evaluation:** Maintaining an independent testing, evaluation, validation, and verification (TEVV) team that ensures robust oversight of AI systems by measuring baselines, monitoring performance, and operationalizing risk management practices. The Department follows the National Institute of Standards and Technology (NIST) AI Risk Management Framework and other emerging standards, and coordinates closely with the Center for AI Standards and Innovation (CAISI) to address gaps and align with best practices.
- **AI Lifecycle Support:** Facilitating the acquisition and development of AI solutions through the AI Accelerator project, a single chatbot interface which will help Department users navigate permitted AI use and connect users to available enterprise AI tools. The AI Accelerator also helps innovators think through ideation, procurement, and governance.

B. Sharing and Reuse

The Department is committed to maximizing the impact of our AI investments. The Chief Data and Artificial Intelligence Officer (CDAO), in collaboration with the Chief Information Officer (CIO) and other key officials, oversees the internal coordination of efforts to inventory, share, and release AI code, models, and data assets through centralized repositories. The Department has taken steps to ensure a consistent and unified approach to AI model, code, and data asset sharing across AI policies and processes. Key considerations in the continuous process of enabling responsible AI include:

- **Custom-Developed AI Code:** Committing to maximally sharing custom-developed AI code, including models and model weights, across the federal government and with the public, in alignment with OMB M-25-21.

- **Compliance with Data Handling Policies:** Handling all AI code and models in accordance with Department policy.
- **Access Control:** Restricting access to AI code and models to authorized Department personnel who have been cleared to handle SBU data.
- **Documentation:** Requiring detailed documentation for all custom-developed AI code including the models, model weights, and information on the development process, data sources, and any modifications made to the models. Establishing policies for registering AI use cases and utilizing accessible version control systems to improve traceability and scalability.
- **Review and Approval:** Undergoing a thorough review and approval process before any AI code or models are shared outside of the original development team. The Department's Responsible AI Official (RAIO) and bureau-specific independent reviewers perform internal testing to ensure data protection before sharing any code or models. Reviewing self-service builder environments will help identify and scale high performing solutions more effectively.
- **Feedback and Reporting:** Encouraging users to provide feedback and report any issues or bugs found while using a specific AI application. This input is essential for ongoing improvements to AI solutions, ensuring they align with industry standards and user needs.
- **Training and Support:** Encouraging AI use case owners to pursue AI training opportunities and inform end users how to use AI tools responsibly and appropriately.
- **Transparency:** A dedicated team is establishing processes to identify, manage, and publish data assets for public access.
- **Open Data:** Maintaining open data while ensuring compliance with legal mandates and data governance best practices.

- **AI Use Cases:** Sharing AI use cases through AI applications such as StateChat CustomGPTs, and experimentation environments.

C. AI Talent

The Department is actively enhancing AI talent through initiatives such as workforce training programs and centralized resources like AI.State, focusing on critical skillsets including machine learning, data governance, ethical AI development, and AI system design. With the greatest impact from AI expected in areas like decision-making processes, mission-critical applications, and cybersecurity standards, the Department has taken the following steps to upskill and retain a skilled AI workforce:

- **In-Person Training Courses:** Creating a new 'Introduction to Generative AI' course, a new 'Train-the-AI-Trainer' course, and various in-person, hands-on workshops tailored for end-users, including embassies overseas.
- **Virtual Training Workshops:** Delivering additional GenAI workshops like the workshop series 'Practical Application of AI in the Department', which ran November 2024 to May 2025 and provided nearly 4,000 hands-on training hours to over 500 employees.
- **Self-Paced Training Opportunities:** Offering self-paced, virtual, web-based learning modules and a robust suite of training opportunities that teach the workforce how to use StateChat. The Department maintains a robust and relevant curriculum on AI capabilities through internal training and access to free, third-party training software.
- **Annual Required Certification:** Integrating data and AI topics into annual mandatory training courses, such as the Annual Mandatory Counterintelligence and Insider Threat Awareness Training courses.
- **AI Community Development:** Maintaining an AI Innovator Community of Practice to share AI use cases, best practices, and specific impact metrics to accompany AI technologies. The Department also promotes data and AI working groups at

headquarters and at posts abroad, encouraging posts to develop mission-specific AI solutions.

- **Talent/Human Resource Planning:** Aligning with OMB M-25-21, the Department will fill critical vacancies, including individuals with demonstrated operational excellence in designing, deploying, and scaling AI systems in high-impact environments using emergent and existing hiring flexibilities for Data Scientist (1560), Program and Management Analyst (0343), and Information Technology (2210) series, as well as facilitating the hiring of Eligible Family Member and Local Staff in to data scientist roles.

2. IMPROVING AI GOVERNANCE

The Department implements AI governance at the strategic, tactical, and operational levels (see [Appendix A](#) for membership lists).

A. AI Governance Boards

The Department maintains multiple governance bodies to identify strategic goals for the growth of data and AI across the enterprise and oversee implementation of the identified objectives across bureaus and posts. Members of the Department's governance bodies consult with external experts on a case-by-case basis including the Federal Chief AI Officers Council (CAIOC), the Department's AI Investment Management Group (AIM), and CAISI.

- **Enterprise Data and AI Council (EDAC):** The EDAC steers strategic governance for AI policy and data standards at the Department and serves as the executive AI Governance Board. Co-chaired by D-MR and the CDAO, the EDAC is accountable for implementing the EDAS and ensuring the Department's AI governance processes follow the Evidence Act and other relevant statutory mandates. Its membership includes Principal Deputy Assistant Secretaries, Deputy Assistant Secretaries, the Statistical Official, and the Department's Evaluation Officer(s), facilitating broad collaboration across the Department as detailed in [Appendix A](#).

- **AI Steering Committee (AISC):** The AISC provides tactical solutions and advice to the EDAC, CDAO, and the CIO on applied responsible AI. Co-chaired by the RAIO and the Enterprise Chief Information Security Officer (E-CISO), the AISC facilitates enterprise-wide collaboration on applied AI policy, guidance, and communications. It operates through the **AI Communications and Training Working Group** and other topical policy working groups as needed. Reporting to the EDAC and CDAO, the AISC will oversee implementation of the EDAS while promoting responsible AI use, identifying risks, enacting policies and guidelines, and monitoring AI initiatives across the Department.

B. Agency Policies

The Department has established comprehensive policies, governance structures, and safeguards to drive innovation and responsible AI use while addressing IT infrastructure, data, cybersecurity, and privacy concerns. Current AI Policy can be found in the following locations:

- **Foreign Affairs Manual, Volume 20 (20 FAM):** This manual is regularly updated with guidance for AI use case and data system owners as federal requirements evolve and is publicly available. To ensure the Department's AI use case owners comply with both Department and federal policy, the Department utilizes the [20 FAM](#) which articulates governance requirements and roles and responsibilities. These policies include shared guidance related to labeling internal products, leveraging data assets and systems, AI procurement best practices, and high-impact AI use cases.
- **Guidance at AI.State:** AI.State serves as the Department's central repository of AI resources. A set of FAQs and other specific guidance located on this internal site allows end-users to look up and reference updated guidance to fit their needs.

C. AI Use Case Inventory

The collection and curation of the annual AI use case inventory is essential to ensuring transparency and the Department's comprehensive understanding of how AI

technologies are utilized across the agency. These processes allow the Department to have an inventory of current AI use cases, facilitating the effective management of AI deployments in alignment with our mission and government-wide regulatory requirements:

- **Annual Data Call:** The Department performs an annual data call to complete a full inventory of AI use cases according to OMB requirements. The RAIO, in close coordination with the CDAO, validates and verifies each entry with AI use case owners, shares the draft AI Use Case Inventory with Department leadership for clearance, and posts the final public inventory on state.gov/ai in accordance with OMB requirements.
- **Department Outreach:** The RAIO holds regular discussions with AI governance bodies on the AI use case inventory process. The RAIO also offers open information sessions, general office hours for all Department staff, targeted office hours for existing AI use case owners and data scientists and socializes this requirement on a dedicated tap in AI.State.

3. FOSTERING PUBLIC TRUST IN FEDERAL USE OF AI

The Department reviews AI use cases during the annual AI use case inventory, both to verify whether the AI use case constitutes “high-impact” and to check for compliance with minimum risk management practices. To promote transparency in the use and dissemination of AI generated and AI altered content, all AI content must be labelled according to the standards set by the Department in alignment with applicable federal law, regulation, and policy.

A. Determinations of High-Impact AI Use Cases

- **Obtain Appropriate Approvals:** The Department has internal guidance on required risk management practices for high-impact AI. This guidance and any supplemental criteria is published on AI.State and will be published in the FAM following clearances with AI governance bodies.

- **Implement Minimum Risk Management Practices:** The Department has updated requirements to ensure that high-impact AI systems are implementing minimum risk management practices.
- **Track/Review Requested Waivers:** The Department uses the AI Inventory process to **centrally** track requested waivers for minimum risk management practices along with other information about each AI use case. Each year, the CDAO reviews and reports the details of each granted or revoked waiver.

B. Implementation of Risk Management Practices and Termination of Non-Compliant AI Use Cases

The Department has developed internal guidance on risk management for high-impact AI published on AI.State and to be published in the FAM and Foreign Affairs Handbook (FAH). This guidance incorporates OMB M-25-21 requirements and Department risk management guidance, outlined in [2 FAM 030](#).

- **CDAO Oversight and Compliance:** The CDAO provides oversight and verifies that high-impact AI Use Case Owners comply with required practices.
- **Minimum Risk Management:** AI use case owners are required to implement the risk management practices mandated by the Department's guidance and policy.
- **Compliance Certification:** AI use case owners certify their compliance with the minimum risk management practices annually through the AI use case inventory process.
- **Internal Audit:** If the CDAO determines that an AI use case is non-compliant, upon notification to the AISC, the AI use case owner must terminate the AI use case. To restart the AI use case, and the owner of that use case must develop a compliance plan under the supervision of the CDAO and visibility of the AISC.
- **Termination of Non-Compliant Use Cases:** AI use case owners are responsible for terminating non-compliant high-impact AI use cases at the direction of the CDAO.

APPENDIX A:

AI GOVERNANCE BODIES

NOTE: Lists below reflect membership as of September 2025 and are subject to change.

Voting members of the EDAC include:

- **Chair:** Deputy Secretary for Management and Resources
- **Vice Chair:** DT/CfA: Center for Analytics
- Bureau of Administration (A)
- Bureau of Budget and Planning (BP)
- Bureau of Consular Affairs (CA)
- Bureau of Democracy, Human Rights, and Labor (DRL)
- Bureau of Diplomatic Security (DS)
- Bureau of Global Public Affairs, Resources and Analysis (GPA)
- Bureau of Personnel & Training (PERT)
- Bureau of Political-Military Affairs (PM)
- Bureau of Population, Refugees, and Migration (PRM)
- Bureau of the Comptroller and Global Financial Services (CGFS)
- Executive Secretary (S/ES)

AI Steering Committee (AISC)

Voting members of the AISC include:

- **Co-Chair:** DT/CfA: Center for Analytics
- **Co-Chair:** DT/ECISO: Enterprise Chief Information Security Office
- Bureau of Administration (A)

- Bureau of Budget and Planning (BP)
- Bureau of Consular Affairs (CA)
- Bureau of Democracy, Human Rights, and Labor (DRL)
- Bureau of Diplomatic Security (DS)
- National Foreign Affairs Training Center (PERT/NFATC)
- Bureau of Personnel and Training (PERT)
- Bureau of International Organization Affairs (IO)
- Bureau of Intelligence and Research (INR)
- Office of the Legal Adviser (L)
- Bureau of Political-Military Affairs (PM)
- Office of Civil Rights (S/OCR)